

6.1.1 Porter's Five Forces

Porter's Five Forces is a framework for analyzing the competitive forces within an industry. The five forces are:

- **Threat of New Entrants:** Examining barriers to entry, such as capital requirements and regulatory hurdles, helps assess the potential for new competitors entering the industry.
- **Bargaining Power of Buyers:** Analyzing the power of buyers in influencing prices and terms provides insights into the industry's competitiveness.
- **Bargaining Power of Suppliers:** Assessing the influence of suppliers on costs and availability of inputs is crucial for understanding the supply chain dynamics.
- **Threat of Substitute Products or Services:** Identifying substitutes and their potential impact on prices and market share helps evaluate the overall competitive landscape.
- **Intensity of Competitive Rivalry:** Examining the degree of competition among existing firms provides insights into pricing pressures and overall industry profitability.

6.1.2 SWOT Analysis

SWOT analysis evaluates a company's internal strengths and weaknesses, along with external opportunities and threats. This analysis aids in understanding the company's competitive position within its industry. Strengths and weaknesses are internal factors, while opportunities and threats are external factors. A SWOT analysis helps investors assess the overall risk and potential of an investment.

6.2 Economic Indicators

6.2.1 Interest Rates

Interest rates influence borrowing costs, consumer spending, and investment decisions. Central banks set interest rates to control inflation and